

Point/Counterpoint

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Editor*

CHARTER SCHOOLS AND THE PUBLIC INTEREST

Over the past 30 years, the charter school movement has become a significant factor in U.S. public education. Charter schools were originally designed to be alternative public schools that would allow for greater experimentation and innovation within the public school system. As the number of charter schools has expanded to more than 7,000 nationwide, an active debate has arisen focused on the ways in which charter schools either help or harm the public school system and what should be the appropriate regulation of charter school certification, operation, and expansion.

In this issue's Point/Counterpoint, we consider the evidence on charter schools, addressing three critical questions:

1. To what extent do charter schools promote, or interfere with, the public interest in K-12 education that justifies its public funding?
2. Do charter schools help to equalize educational opportunity?
3. Should policymakers at a state or district level limit the size of the charter school sector?

Philip Gleason, Senior Fellow at Mathematica, reviews the evidence on charter school effectiveness and asserts that charter schools have stimulated critical experimentation and learning around how to serve schoolchildren more effectively, and he argues that continuing the charter school movement would expand our learning. Helen Ladd, Professor Emerita of Public Policy and Economics at Duke University, also considers the evidence on charter school effectiveness but more closely focuses on the degree to which charter schools interfere with the operation and coherence of local school systems. Professor Ladd argues that given the operational and financial burden that charter schools create for public school systems, we should cap the number of charter schools and refocus attention and resources on traditional public schools.

LET THE SEARCH CONTINUE: CHARTER SCHOOLS AND THE PUBLIC INTEREST

Philip M. Gleason

"We are engaged in a search. . . . We can say 'We are going to do everything we know. And when we don't know, we are going to do the best we can; we are going to keep looking.'"
Albert Shanker, 1988

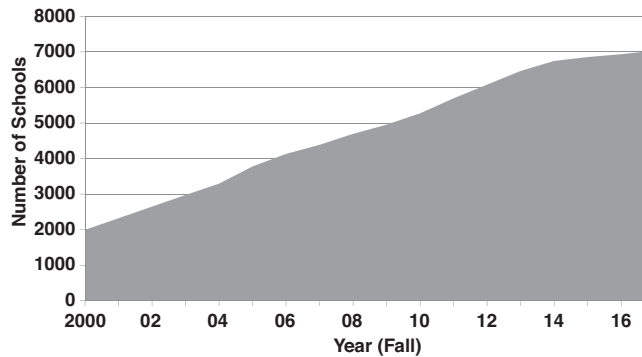
In a 1988 speech before the National Press Club, Albert Shanker laid out a vision of a different kind of public school—a charter school. This proposal to reform the public school system arose from longstanding dissatisfaction with the system's performance, most recently highlighted in *A Nation at Risk*, a 1983 National Commission on Education report. Shanker argued that most students were not well served by public schools, and that charter schools could trigger a search to identify more effective approaches to education.

These would be schools of choice, where parents could opt in but not be compelled to send their child. They would be innovative schools. As described by Kahlenberg and Potter (2015), Shanker believed that "through experimentation, the new charter laboratory schools might produce breakthrough lessons . . . which could then be applied more broadly to traditional public schools." This vision for charter schools has persisted. In a 2014 National Charter School Week proclamation, for example, President Obama noted that charter schools can "try innovative approaches" and "those that are successful can provide effective approaches for the broader public education system."

Shanker's idea caught on, and charter schools now play an important role in the public education system. Minnesota was first to permit charter schools in 1991, and over the next 28 years 44 states and the District of Columbia followed. Charter school enrollment has grown steadily, with 3.2 million students now attending over 7,000 charter schools (Figure 1). Charter schools serve 6 percent of public school students, with a much larger proportion in some districts—93 percent in New Orleans, 53 percent in Detroit, and 46 percent in Washington, DC (Libetti et al., 2019).

The charter sector has not entirely fulfilled Albert Shanker's vision (Kahlenberg & Potter, 2015). Shanker pictured the founders being groups of teachers who would operate the schools with district approval, though freed from many regulations. District-charter competition was not part of Shanker's vision. These aspects of Shanker's vision have not come to pass. Over a third of charter schools are part of larger networks (charter management organizations) with a common model and parent organization offering support and resources (National Alliance for Public Charter Schools, 2017). And competition with district-run schools has been a central feature of the charter sector.

However, this would be the wrong standard to assess the success and potential of charter schools. Rather, we should ask whether the central motivating feature of Shanker's vision has been fulfilled. Have charter schools tried new or different approaches? Have they experienced success, and have lessons from successful approaches been identified and applied more broadly? In short, are charter schools searching for better ways to educate children, and are we learning from the search?



Source: National Center for Education Statistics (2018). Digest of Education Statistics: 2017. Retrieved April 20, 2019, from https://nces.ed.gov/programs/digest/d17/tables/dt17_206.30.asp.

Figure 1. Growth in Number of Charter Schools, by Year.

NEW AND DIFFERENT?

It is easy to find charter schools using different approaches to curriculum, staffing, and instructional delivery from those used in nearby district-run schools. Many operate with curricular themes such as civics (e.g., the Democracy Prep network), the environment (e.g., Jane Goodall Environmental Middle School in Salem, Oregon), or global education through project-based learning (e.g., The Exploris School in Raleigh, North Carolina). The Equity Project charter school in New York focuses on attracting and rewarding top-quality teachers through especially high salaries. Intentionally-integrated charter schools (e.g., High Tech High in San Diego, Citizens of the World Charter School network) recruit and serve a diverse student body. Hundreds of charter schools operate fully or partially online. Finally, many urban charter schools use a collection of policies known as the “No Excuses” approach, including longer school days and years, high academic expectations, strict disciplinary policies, frequent teacher coaching, and intensive student tutoring (Cohodes, 2018).

Another indication charter schools are experimenting with new approaches is that their quality varies greatly (CREDO, 2013; Gleason et al., 2010). Some produce better student outcomes than nearby district-run schools; others produce worse outcomes. While the quality of district-run schools also varies, Zimmer et al. (2012) found greater variation among charter schools. This is what one would expect with schools experimenting with new and different approaches.

HAVE CHARTER SCHOOLS FOUND SUCCESSFUL APPROACHES?

Charter schools have not been a magic bullet for the U.S. public school system, but have benefitted disadvantaged students in urban areas. Most studies examining broad groups of charter schools in individual or multiple states have found only small effects, on average (Table 1, panel A). Most examine impacts on students’ academic achievement, as measured by test scores. Nine of 11 impact estimates in math and seven of 11 in reading were not significant (and the significant estimates were small and included positive and negative impacts).

Nor does existing evidence show consistent impacts on longer-term outcomes like educational attainment or earnings. One study found that Florida charter high schools increased students’ college enrollment, persistence, and later earnings (Sass

Table 1. Summary of selected studies examining charter school impacts.

Study	Location and Sample	Design	Charter School Impacts on:			
			Math Scores (Standard Deviation Units)	Reading/ELA Scores (Standard Deviation Units)	College Enrollment (Percentage Points)	Annual Earnings (\$)
A. Selected Studies Examining Both Urban and Non-Urban Charter Schools Within One State or Across Multiple States						
Gleason et al. (2010); Place and Gleason (2019)	36 oversubscribed charter schools in 15 states	Lottery-based	NS	NS	NS	—
Furgeson et al. (2013)	22 charter school networks with 68 schools in 8 states	Non-experimental	NS	NS	Positive and significant for two networks, NS for two networks	—
Dobbie and Fryer (2016) CREDO (2013)	45 charter schools in Texas	Non-experimental	−0.01 *	0.02 *	2-year: 0.02 *	−\$164 *
	1.5 million charter school students in 27 states	Non-experimental	NS	0.01 *	4-year: NS	—
Zimmer et al. (2012)	632 charter schools in 7 states	Non-experimental	NS in 6 of 7 states (negative in the other)	NS in 5 of 7 states (negative in the others)	—	—
Sass et al. (2016)	44 charter high schools in Florida	Non-experimental	—	—	0.12 *	\$2,318 *

Table 1. Continued.

Study	Location and Sample	Design	Charter School Impacts on:			
			Math Scores (Standard Deviation Units)	Reading/ ELA Scores (Standard Deviation Units)	College Enrollment (Percentage Points)	Annual Earnings (\$)
B. Selected Studies Examining Urban Charter Schools Separately from Non-Urban Charter Schools						
Gleason et al. (2010); Place and Gleason (2019)	36 oversubscribed charter schools in 15 states	Lottery-based	Urban: 0.16* Non-Urb: -0.14	Urban: -0.02 Non-Urb: -0.08*	Urban: NS Non-Urb: NS	—
Angrist et al. (2013)	25 oversubscribed charter schools in Massachusetts	Lottery-based	Urban: 0.32* Non-Urb: -0.12*	Urban: 0.15* Non-Urb: -0.14*	—	—
Angrist et al. (2016)	6 charter high schools in Boston	Lottery-based	Urban: 0.41*	Urban: 0.59*	2-year: Urban: NS 4-year: Urban: 0.18*	—
Dobbie and Fryer (2013)	19 charter elementary schools and 10 charter middle schools in New York City	Lottery-based	Elementary: Urban: 0.11* Middle School: Urban: 0.13*	Elementary: Urban: 0.06* Middle School: Urban: NS	—	—
CREDO (2015)	Charter schools in 41 urban areas in 22 states	Non-experimental	Urban: 0.06*	Urban: 0.04*	—	—
Abdulkadiroglu et al. (2017)	31 charter schools in Denver	Lottery-based	Urban: 0.42*	Urban: 0.17*	—	—

Notes: Studies included in table are not intended to include all research on charter school impacts on these outcomes. Studies were given preference if they were conducted more recently and either used lottery-based methods or included a broad sample of charter schools in a state or across multiple states (panel A) or in one or more urban areas (panel B).

NS: not statistically significantly different from zero at the 0.05 level, two-tailed test.

et al., 2016). However, a Texas study found little effect on college enrollment and a negative effect on adult earnings (Dobbie & Fryer, 2016). A study of charter middle schools in 15 states found they did not significantly affect students' college enrollment or completion (Place & Gleason, 2019).

However, some charter schools have improved student achievement, with a pattern to which ones have been successful—urban charter schools serving mostly disadvantaged and minority students. Several studies have found positive impacts of charter schools in selected urban areas (Table 1, panel B). Other studies have found positive impacts of selected charter school networks primarily serving urban low-income and minority students, such as KIPP (Tuttle et al., 2015) and the Harlem Children's Zone (Dobbie & Fryer, 2015). Most compellingly, studies with both urban and non-urban charter schools have shown that urban schools raised test scores relative to district-run counterparts; non-urban schools lowered test scores (Angrist, Pathak, & Walters, 2013; Gleason et al., 2010).

HAVE LESSONS FROM CHARTER SCHOOLS BEEN APPLIED ELSEWHERE?

For charter schools to fulfill their original intent, we should see that lessons from successful schools are being applied more broadly. Lessons could be applied within the charter sector, through expansion of successful networks or authorization of new schools operating successful models. Or they could be applied outside the charter sector, with district-run schools using charter-like models or policies used in high-quality charter schools.

The strongest evidence that lessons from charter school success are being applied more broadly is that the sector increasingly serves students identified by research as benefitting most from charter schools. More schools are now located in urban areas and serve disadvantaged student populations—the very schools found to be most successful. Between 2005/2006 and 2015/2016, for example, the percentage of charter schools in cities increased from 53 to 57 percent (NCES, 2018), with little change among district-run schools. More dramatically, the percentage of charter schools primarily serving low-income students (over three-fourths eligible for subsidized school meals) doubled from 19 to 38 percent between 2000/2001 and 2015/2016, compared with a smaller increase among district-run schools.

Charter school networks with a track record of improving student achievement have also expanded dramatically over the past two decades. KIPP is the largest and perhaps best-known network and has had well-documented positive impacts, as noted above. The KIPP network grew from two schools in 2000/2001 to 96 in 2010/2011 and 209 in 2017/2018. More broadly, Libetti et al. (2019) identified 60 high-performing charter school networks and showed that their enrollment grew by 329 percent between 2009 and 2016, compared with 72 percent growth in the charter sector as a whole.

The evolution of the charter sector has not been an accident, as private foundations and public policymakers have targeted support to successful charter school models. For example, the Charter School Growth Fund and other foundations have supported networks for which there is evidence of positive impacts on student outcomes. The federal Investing in Innovation program provided grants to applicants shown to have improved student achievement and attainment, including about \$70 million to five charter school networks between 2010 and 2016.¹ Finally, states such as Massachusetts have passed legislation limiting growth in the charter sector to networks with evidence of success (Cohodes et al., 2018). This approach of targeting support to successful networks involves a trade-off, as it may limit innovation in the

¹ See <https://www2.ed.gov/programs/innovation/awards.html>, retrieved May 13, 2019.

charter sector. However, it is consistent with the idea that lessons from successful charter schools should be applied more broadly.

Charter schools have also influenced district-run schools. Some states or districts have implemented policies associated with successful charter schools, such as extended learning time. Others have begun operating schools with increased charter-like autonomy, such as Boston Pilot Schools, Los Angeles Pilot Schools, and Innovation Zone Schools in four Tennessee districts. They have also turned over operations of some struggling district-run schools to charter operators as part of school turnaround efforts. These schools typically have more autonomy than district-run schools but are subject to some regulations that independent charter schools are not, such as serving a particular neighborhood zone rather than being schools of choice.

A TANTALIZING PROSPECT

For over a half century, education policymakers have struggled to reduce large gaps between racial/ethnic groups or between low-income and high-income students in outcomes like achievement and attainment (Chetty et al., 2014; Reardon, 2013). On September 14, 1963, *The Saturday Evening Post* lamented that “the great majority of . . . ‘dropouts’ will have come from low-income families. Considerably more than half the children from upper-middle-class families will go on to college.” The 1966 Coleman Report picked up this theme, examining schools’ role in socioeconomic and racial/ethnic gaps. Over time, policymakers have tried to reduce gaps through school desegregation, supplemental educational services, efforts to equalize funding across schools, and policies designed to improve teacher quality for disadvantaged students (e.g., professional development, coaching, merit pay, certification requirements).

Despite these efforts, little progress has been made in reducing gaps in educational outcomes. Among children born in 1954, for example, the achievement gap between the top and bottom decile of the socioeconomic distribution was 1.2 standard deviations. Nearly half a century later, the 2000 cohort gap was 1.05 standard deviations (Hanushek et al., 2019). Whether we lack the will or the way, policymakers have not successfully addressed this inequality.

However, charter schools offer promise of progress in reducing gaps in educational outcomes, as numerous researchers have pointed out (e.g., Cohodes, 2018; Fryer, 2014). As documented above, charter schools improve achievement among disadvantaged students in urban areas (with less known about other outcomes). These effects are substantial. For example, one year of attending a charter school in Boston (Angrist, Pathak, & Walters, 2013) or Denver (Abdulkadiroglu et al., 2017) led to increases in achievement of 0.3 to 0.4 standard deviations. Moreover, there is potential for growth in the reach of charter schools and their policies. While charter schools are more common within cities than outside of them, only 15 percent of all public schools located in cities are charter schools (NCES, 2018).

In considering charter school expansion, a key question involves its costs. In a narrow sense, costs of charter and district-run schools are similar, since per-pupil funding for charter schools tends to be on a par with or less than funding for district-run schools. But the full cost implications of an expanding charter sector are more difficult to assess. As students move from district-run to charter schools, district costs may increase because previous economies of scale are reduced, and some schools may be closed. The composition of district students may also change, with more students having special needs and higher costs. On the other hand, some of the higher short-run district costs may lessen in the longer run as districts adjust to their smaller size and charter competition (Buerger & Bifulco, 2019). These implications of charter expansion are critical to understand, and weighed against any progress

broadener use of charter schools and their policies can make in reducing achievement and attainment gaps.

CAN WE LEARN MORE FROM THE CHARTER SCHOOL EXPERIMENT?

Extrapolating impacts from the set of urban charter schools included in studies to the much larger national population of disadvantaged student groups is no doubt overly optimistic. The charter sector will face challenges in scaling up. For example, charter schools will have to attract more students and may struggle to do so while maintaining policies that have worked in successful charter schools. For example, some students or their parents may resist a school with long days, strict disciplinary policies, and no transportation. Even if schools do attract enough students, policies that have worked with current urban charter school students may not work with a broader population of disadvantaged students. In scaling up, charter schools will also need to recruit more high-quality teachers and principals. And if growth comes from expanding existing charter school networks, they may struggle to avoid developing the kind of bureaucracy that many charter schools were created to avoid.

The strategy of injecting policies of successful charter schools into district-run schools faces other challenges. Most district-run schools are not schools of choice; students have not chosen to be there. If student and parent buy-in is key to charter schools' success, this advantage would be lost in district-run schools using charter-like policies. They may also struggle to handle the entry of students at non-standard entry points, since some charter schools primarily admit new students in the fall at the school's lowest grade.

Despite such challenges, the spirit of searching for solutions suggests pursuing the possibility that successful charter schools and their policies can remain successful on a larger scale. Success is not guaranteed, but from this search we can learn more about which charter school models and policies work—or do not—for which groups of students.

More broadly, we can learn more about the mechanisms and settings that lead to schools having positive impacts. For example, is urban charter schools' success driven by specific policies, or is the context in which they operate critical? Do they have positive impacts only because the district-run alternatives are poor? How important is the fact that they serve students who have chosen to enroll? Is charter schools' autonomy critical, or would any school that implemented the same policies be successful?

Researchers have begun addressing these questions, based on early expansion of successful charter schools and their policies. These efforts to learn from the search have involved three strategies: (1) measuring impacts in cities where charters are already scaling up; (2) assessing attempts of charter schools to take over struggling district-run schools; and (3) exploiting variation in charter school policies to identify those associated with positive school impacts and to understand their effects in district-run schools.

Early evidence on charter schools' success in cities with expanding charter sectors is promising. After Hurricane Katrina, education reform in New Orleans included transitioning to a nearly all-charter district, and Harris (2015) found that these changes raised student achievement and attainment. In Boston, the lifting of a cap on charters doubled their concentration from 16 to 31 percent of students. New charter schools opened during this period remained effective, and the overall effectiveness of Boston's charter sector increased (Cohodes, Setren, & Walters, 2018). Tuttle et al. (2015) studied expansion of KIPP from 20 to 140 schools between 2005 and 2014, finding that impacts declined over the period but remained positive in each year.

Studies examining charter takeovers of struggling district-run schools shed light on impacts of charter schools when they retain some but not all aspects of their

approach. They may not operate as schools of choice, for example, and may face some district regulations independent charter schools do not. Evidence on their success is mixed—they did not lead to improvements in achievement in Philadelphia (Gill et al., 2007) or Tennessee (Zimmer et al., 2017), but had positive impacts in Boston and New Orleans (Abdulkadiroglu et al., 2016).

Several studies have examined the policies and practices correlated with charter school success (Chabrier, Cohodes, & Oreopoulos, 2016; Gleason, 2017). These policies include extended instructional time, high-dosage student tutoring, comprehensive behavior policies, teacher coaching, and data-driven instruction. Two districts recently injected these practices into struggling district-run schools, with promising results (Fryer, 2014).

LET THE SEARCH CONTINUE

While the charter school experiment has not played out exactly as the movement's originators anticipated, it has fulfilled the original vision for charter schools in an important respect. Charter schools have searched for ways to more effectively serve students, using new and different approaches. Not all charter schools succeed and not all of their students thrive. But some charter schools have improved student outcomes, and lessons drawn from their success have been applied more broadly. The potential for additional learning remains. We should continue the charter school experiment in order to continue the search for better ways to educate America's schoolchildren.

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HOW CHARTER SCHOOLS THREATEN THE PUBLIC INTEREST

Helen F. Ladd

INTRODUCTION

K-12 education generates public benefits that extend beyond the aggregated benefits to individual children. Public benefits include greater economic productivity, a stronger democracy, less antisocial behavior as well as a fair distribution of educational opportunity. These public benefits are what justify the public funding of education and the requirement that all children attend school (Ladd, 2019; Levin, 1987, 2019).

In light of the public benefits of schooling, the challenge is to develop education systems that are coherent and provide appropriate services to all children within relevant geographic areas in a fair and cost-efficient manner. In our decentralized federal system, state governments have the constitutional responsibility for establishing and maintaining such systems, although the relevant geographic area for the delivery (and often for some of the funding) of schools is typically the local school district.

Although funded publicly, charter schools operate outside traditional state and local systems. They are operated by non-governmental entities (some of which are profit seeking), are schools of choice in the sense that no children are assigned to them, are not subject to most regulations, and are often treated as their own separate school districts. They are attached to the traditional systems mainly through the processes by which charters are authorized and renewed. In some states, the authorizing agents are components of the traditional K-12 system, such as state boards of education or local education authorities, but in many states, authorizers also include charter school boards, institutions of higher education, non-educational government entities, or non-profit organizations (see Table 1). A few states, including California, Texas, and Wisconsin, have 100 or more individual authorizers.

A fundamental problem with charter schools is that in most cases they undermine the coherence and effectiveness of state and local school systems. If charter schools were limited in number to the fringe of the traditional system, as was originally envisioned by some early supporters such as Ray Budde and Albert Shanker, or if elected policymakers take special precautions to ensure that charters and traditional schools work toward common goals, the adverse systemic effects might be contained. But, in areas with relatively large or growing charter school sectors overseen by weak authorizers, the negative systemic effects undermine the public interest. To be sure, avid supporters of charter schools or other forms of school privatization would likely applaud such an outcome because of their view that public education as currently structured is failing and should be disrupted. The starting point for this essay is that the current education system, while not perfect, is far from failing and is worth preserving and improving.

Although much of my argument focuses on the disruption caused by charter schools, I acknowledge the potential for some charter schools to provide private benefits for their students in the form of higher test scores relative to what they would attain in traditional schools. A large body of research using a variety of

Table 1. Charter school authorizer types.

Type(s)	Number of states (including DC)
LEA only	13
SEA Only	6
ICB only	5
LEA and SEA	5
LEA and ICB	3
LEA and HEI	3
ICB and HEI	1
More than 2 types*	8

Notes: LEA is local education agency; SEA is State Education Authority; ICB is independent charter board; HEI is Higher Education Institution. The table includes only the authorizers allowed by law but excludes authorizers with limited jurisdiction or available only for appeal. Compiled by the author from <https://www.qualitycharters.org/state-policy/multiple-authorizers/list>.

*Includes non-educational entities (NEG) and non-profit organizations (NPO).

statistical methods shows, however, that such benefits are likely to be small on average and are highly variable. (See, for example, summaries in the national Center for Research on Education Outcomes [CREDO] study, 2013; Epple et al., 2015; and Gamoran & Fernandez, 2018). Below, I briefly refer to the effects of charter schools on economically disadvantaged students.

In the absence of widespread evidence of significant and consistent private benefits from charter schools, policymakers should protect the public interest in education by limiting the growth of charter schools.

NEGATIVE EFFECTS OF CHARTERS ON LOCAL EDUCATION SYSTEMS

Enrollments in charter schools have grown dramatically since their beginning in the 1990s. They now account for about 6 percent of all public school students in the nation, including more than 50 percent in a few large cities, 30 percent or more in many others, and rising proportions in many non-urban settings. Nonetheless, local school boards or other local public officials, including mayors of some general purpose local governments, continue to be legally responsible for assuring that all students within the local area, including those in charter schools, have access to a free public education.

While the district leaders directly oversee the local traditional public schools and, hence, can make decisions on their behalf, the corresponding charter sector is far more decentralized. Within a local area, the charter sector is typically composed of a mix of individual charter schools operated by school-specific boards and various networks of charters operated by local, regional, or national organizations. These organizations include non-profit charter management organizations (CMOs) and, if state law allows them, for-profit education management organizations (EMOs). Table 2 reports information on charter enrollment shares and number of charter management organizations for the 10 cities with the largest charter enrollments. The result is a disjointed system of local schools.

Fiscal Burdens

The financing arrangements for charter schools differ across states. Most charter schools are funded through state and local taxes at about the same per-pupil level of operating expenditures as traditional schools (henceforth, district schools). Claims

Table 2. Ten districts with the highest number of charter school students, ranked by charter enrollment share, 2016.

	Charter school enrollment share	Total charter management organizations	Schools run by charter management organizations
New Orleans Public School System, LA	92%	9	30
Detroit City School District, MI	53%	20	66
District of Columbia Public Schools, DC	45%	13	47
Philadelphia City School District, PA	32%	7	29
Los Angeles Unified School District, CA	24%	14	94
Houston Independent School District, TX	22%	15	73
Miami-Dade County Public Schools, FL	16%	4	34
Broward County Public Schools, FL	16%	3	31
Chicago Public Schools, IL	15%	19	84
New York City Department of Education, NY	9%	18	69

Source: Modified from I. C. Rotberg and J. L. Glazer (Eds.), *Choosing Charters: Better Schools or More Segregation*, Table 4.3, p. 47. Charter management organizations include for-profit and non-profit organizations. The number of schools managed by firms in Philadelphia was incorrect in the original table and has been corrected here.

that charters receive far less funding per pupil than district schools are common among charter supporters but can be highly misleading because their typical focus on revenues rather than expenditures fails to recognize the differing expenditure responsibilities of the two sectors (Baker, 2014; DeAngelis et al., 2018). It is true, however, that public funding typically does not cover the capital costs of charter school facilities.

In practice, charters often impose significant fiscal burdens on local school systems. The magnitude of the negative fiscal burdens depends on several factors, such as the share of students lost to charters, the flexibility that districts have to adjust various components of their education budgets, and the types of students who switch from traditional public schools to charter schools, including those who might otherwise have been home-schooled or attended private schools. The competition for funding between the sectors has been particularly challenging for districts facing severe budgetary pressures, as emphasized by Arsen et al. (2015) for Michigan districts.

As documented by Bifulco and Reback (2014) for the declining districts of Buffalo and Albany, and developed further by Ladd and Singleton (2018) for a sample of urban and non-urban districts in North Carolina, charter schools impose fiscal burdens on local districts primarily because the districts cannot easily reduce their spending in proportion to the revenue losses associated with the outflow of students to charters. Many district expenditures are devoted to relatively fixed costs such as school buildings and central services. Hence, in the absence of new funding, a district would need to cut back its spending on variable inputs such as teachers by a greater percentage than its loss of revenue to the charter schools—thus leading to a reduction in the quality of education for the remaining district students.

Fiscal burdens also arise because charters have little incentive or, in some cases, limited capacity, to serve expensive-to-educate students, such as those with special needs. Although many charters serve some students with special needs (and a few focus exclusively on such students), charter schools are often able to dissuade the parents of students with the most severe disabilities from enrolling, leaving them to be served by the traditional public schools (Mommandi &

Welner, 2018). In addition, for similar reasons, limited English proficient students and economically disadvantaged students are also often underrepresented in charter schools. (See, for example, Chingos & West, 2015, Table 1, for charter enrollments in Arizona; Buerger & Bifulco, 2019, Table 3, for selected districts in NY; or CREDO, 2015, Table 2, for 41 urban districts.) In such cases, the underrepresentation means that the district faces a disproportionate share of the burden of educating such students and that such students end up increasingly concentrated in district schools.

Importantly, not all the fiscal burdens are transitory. Even if the size of the charter school sector within the jurisdiction stabilizes, some fiscal burdens will undoubtedly remain. For one thing, the administrative expenses of running two separate systems will exceed those of running a single unified system. Moreover, in contrast to the charter schools, the district is responsible for assuring adequate capacity for all students, even for those who initially switch to charter schools but then return to the traditional public schools. Charter students may return to the district schools for a variety of reasons including a mismatch between the needs of the student and the approach of the charter school, high rates of school suspension, or the closure of the school. Many charter schools have shut down—some because of low academic performance but, in the majority of cases, for financial reasons and fiscal mismanagement.

Challenges Related to Planning and the Provision of Services in a Cost-Effective Manner

Unless the local district is the sole authorizer of charters and is willing to set specific limits on the grades and sizes of each charter school, district policymakers face the challenge of planning in a far more uncertain environment than would be the case without charter schools. The challenge for a growing district is to determine how many new schools it will need to build during the following few years in the context of a changing number of charter schools and charter school students. For a declining district, the challenge is to determine whether the loss of students to charter schools is sufficiently permanent to justify closing one or more of its schools. Further, districts face short-term planning challenges related to the provision of transportation and hiring of teachers that are often exacerbated by the uneven and uncertain timing of charter school admissions decisions.

But what about the potential for cost-reducing efficiency gains within the public sector that might arise from competition for students and funds from charter schools? My reading of the extensive literature on the competitive effects of charters on the performance of district schools suggests that, while generally not negative, they are at most very small (Gill & Booker, 2018). Although one recent empirical study of charters in New York State concludes that efficiency gains may be large enough in the long run to offset the short-run fiscal burdens referred to above, that conclusion is dubious. The authors' measure of efficiency at best relates only to the cost of a single narrow student outcome, namely, student test scores. Also, as the authors note, their results may not be generalizable to other states with less comprehensive charter school authorization and oversight practices (Buerger & Bifulco, 2019).

The city of Detroit represents an extreme example of how the growth of charters can lead to wasteful competition among schools. In that city, for-profit charter management firms have incentives to set up and expand schools in part because they receive commissions for the schools they operate. Twenty different management organizations, most of which are profit-seeking, now operate 66 schools (see Table 2) in competition with each other and with the district schools that still serve 47 percent

of the students. The result is an excess supply of school spaces, an inefficient use of facilities, and unproductive churning of students among schools.

Increased Racial and Other Forms of Segregation

As schools of choice, charter schools often counter the public interest by increasing the racial segregation of students within a district. Studies based on longitudinal data show that in many areas, white students transfer to charter schools that are whiter than the district schools they otherwise would have attended while black students often transfer to charter schools that are blacker than their traditional public school. Only in heavily minority districts such as Milwaukee, Little Rock, and Chicago have charters reduced racial segregation by giving more choice to black families (see citations in Bifulco & Bulkley, 2018).

Charters may also increase racial segregation through a less direct route. In the large county-wide district of Charlotte-Mecklenburg, NC, recent efforts of district policymakers to reduce racial segregation by making school assignment zones more racially balanced have been undermined by the fear that movement toward racial balance would simply induce more white suburban families within the district to switch to charter schools (Mickelson et al., 2018).

In addition, charters may separate students within the charter sector by socioeconomic status (SES). For example, many charters in urban areas use a “no-excuses” approach to education that enforces strict behavior standards, limits teacher discretion, and enforces high expectations. This approach tends to isolate low-SES students because it is far more attractive to low-income families than to middle-income families (Rotberg, 2018). Also contributing to economic segregation is the fact that many charter schools do not provide transportation or access to free school meals, which makes them inaccessible to low-income families (Ladd et al., 2017).

Attempted Solutions

The basic structure of charter schools as separate and independent entities with the need to compete with each other and with the district for students and funding interferes with the public interest by creating significant tension between the two sectors. A number of districts, many with financial support from the Gates Foundation, have tried to increase trust between the two sectors by establishing local “compacts.” Although these compacts have led to some positive changes such as common enrollment schemes—albeit with some charters opting out (in cities such as Denver, New Orleans, and DC)—and to closer relationships between charter and district schools in some districts (see, for example, Whitmire, 2014), the verdict on their overall effectiveness is still out. While district leaders are in a position to negotiate on behalf of all the district schools, no representative charter school is in a position to make tough decisions on behalf of others. Furthermore, the boards of existing charter schools have to worry about competition for students from new charter schools in the future (Ladd, 2019).

In addition, several big cities have been pursuing an alternative approach generally referred to as a portfolio management model (Bulkley et al., 2010; Henig, 2018). Under this model, a central office—in some cases a general purpose leader such as a mayor—oversees a mix of schools, including charter schools, through contract-like arrangements that offer schools budgetary and programmatic flexibility in exchange for being held accountable for centrally determined outcomes. This school-improvement strategy involves shutting down below-average providers (many of which are likely to be district schools serving concentrations of disadvantaged students), and replacing them with new providers, often charter schools or

other forms of innovative schools. As a result, locally elected school boards, local parent organizations, and teachers lose power relative to powerful mayors, national foundations that promote this approach, and networks of charter schools often managed by out-of-state organizations. While this approach has generated higher student outcomes in some places, it can also lead to strong protests over school closings, as in Denver, and can undercut the value of stability and community history, as in New Orleans (Bulkley et al., 2010; Henig, 2010; Osborne, 2016).

In sum, expansion of the charter school sector poses significant challenges to the ability of local education systems to promote the public interest.

ARE CHARTER SCHOOLS GOOD FOR DISADVANTAGED STUDENTS?

One of the early arguments for charter schools was that they would benefit disadvantaged children by expanding educational options beyond their low-quality local neighborhood schools. Even if charters do improve educational opportunities and student achievement for some disadvantaged students, many other disadvantaged children are likely to be left behind, either in lower quality charter schools or in traditional public schools starved for funds and serving greater concentrations of expensive-to-educate students. Notably, in recognition of their adverse effects on disadvantaged minority students, the NAACP recently has come out against charter schools and has called for a greater focus on improving the traditional public schools.

Some charter schools do seem to have improved student outcomes for disadvantaged students. A nationwide lottery-based study of students in charter middle schools, for example, found positive effects on student test scores for disadvantaged students, but not for the typical charter student (Gleason et al., 2015). A recent follow-up study of those middle school students, however, found no effects on their longer term outcomes such as college enrollment or college credits (IES, 2019).

Based on a lottery study of oversubscribed charter schools in Boston, researchers have found that the charters appear to be serving their disadvantaged students well in terms of raising student test scores (Abdulkadirglu, et al., 2011). These findings were reinforced by a 2015 study of 41 urban areas (based on a different statistical approach) in which Boston emerged as the district with by far the highest percentage (92 percent) of effective charter schools (CREDO, 2015). The effectiveness of Boston's charter schools has been attributed to the no-excuses approach used by most of the city's charter schools and to the high quality authorization and oversight process of its state charter law and authorization process.

Importantly, however, despite the fact that the overall findings from CREDO's study on urban charters were more positive than those of an earlier national study by the same authors (CREDO, 2013), many charter schools in urban areas have not been successful. In only 14 of the other 40 cities in the urban study did a majority of the charter schools outperform the local district schools in math and only 11 out of 40 did so in reading. In the other cities, more than half the charter schools apparently were either no more effective or were less effective than the local district schools in raising student achievement.

Further, the effort to use charter schools as the major components of school- or district-wide turnaround strategies to improve opportunities for disadvantaged students has been disappointing. In the Tennessee achievement zone, which relied heavily on charter schools, charter operators found it hard to succeed in an environment in which they were required to serve all students (Glazer et al., 2018). And although the New Orleans experiment with its almost exclusive reliance on charter schools has apparently raised average test scores in that city (Harris & Larson, 2016), it cannot serve as a model for a full charter school district in other cities. The

test score gains occurred within the context of a dramatic decline in the total number of students, a significant rise in external funding for new school buildings, and the displacement of existing local black teachers by a younger and less expensive group of white teachers. Yet to be determined is whether any of the positive results to date in New Orleans can be sustained now that authority over the school system has been returned to a locally elected school board.

TO PROMOTE THE PUBLIC INTEREST, THE NUMBER OF CHARTER SCHOOLS SHOULD BE CAPPED

Among the early arguments in support of charter schools was that their experimental nature would allow them to develop new and innovative educational strategies that could be transferred for the benefit of the public schools. Yet, as noted by Gleason (2019), 20 years later we do not even know what determines charter school effectiveness, so it is hard to determine what ideas should be transferred to the public schools. Another argument was that charters would be beneficial to disadvantaged children. While some children have benefitted, a consistent and net positive effect on disadvantaged children has yet to be demonstrated. Those considerations, plus the fact that charter schools have not proven to be consistently more effective than traditional schools, undercut most of the positive arguments for charter school expansion. The only remaining argument—one that I and many others reject outright—is that the current education system is failing and needs to be severely disrupted.

Given that we do know that charter schools are interfering with the effective operation of local school systems, the best strategy to promote the public interest in education would be to limit the number of charter schools and to refocus attention and resources on the traditional public schools. As part of this reorientation, policymakers would need to impose stronger accountability and transparency requirements to assure that the existing charter schools are promoting the public interest, and not just the interests of the students they attract or the for-profit and not-for-profit organizations that operate them.

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CHARTER SCHOOLS' SYSTEMIC EFFECTS

Philip M. Gleason

Helen Ladd presents a thoughtful analysis of the challenges to traditional public school districts brought about by competition from charter schools. When students leave for charter schools, state and local systems lose revenue and the composition of students who remain may change. She also worries that charter schools could lead to greater segregation in school systems. She contrasts these system-wide challenges with “private benefits” for charter school students. Ultimately, Dr. Ladd argues that the number of charter schools should be capped, unless one believes the current education system is failing and should be severely disrupted.

In assessing whether charter schools are in the public interest, my primary focus is not on the school systems themselves but on the children they serve. This perspective builds on the notion that children are a public good (England & Folbre, 1999), and that the public interest is served by systems that foster children’s capabilities. We should concern ourselves with whether charter schools promote all children’s capabilities, including those of students attending district schools. However, we should not discount the effects on children who attend charter schools—these are public, not private, benefits.

CHARTER SCHOOLS AND SCHOOL SYSTEMS

If charter schools' fiscal effects or their influence on the composition of district students were greatly harmful, one would expect to see worsening student outcomes in districts facing increasing charter school competition. By and large, this is not what we see. As Dr. Ladd notes about research on the effects of charter school competition on the performance of district schools, "while generally not negative, they are at most very small." This research literature has some limitations. The studies focus mostly on charter schools' effects on district students' performance on standardized tests. Most examine districts at a time when they faced modest charter school competition, and less is known about what happens in districts with large charter sectors. But right now, the best evidence suggests that district school performance is no worse—and may be better—in the presence of increasing charter competition than in its absence.

Given the challenges charter schools may pose to districts, one might ask why we do not see negative effects. One possibility is that the fiscal effects of charter competition are not uniformly negative—or, if negative, not insurmountable. Several studies do document negative fiscal implications of charter competition (Bifulco & Rebeck, 2014). However, Buerger and Bifulco (2019) find that while New York charter schools increased district schools' costs in the short run, they also increased their efficiency, with greater efficiency gains than cost increases. Ridley and Terrier (2018) find that increasing charter competition in Massachusetts led to increasing per-pupil expenditures in traditional public schools. During this period, Massachusetts provided temporary compensation to districts that were losing students to charters—a possible policy option for districts facing charter competition.

Another possibility is that charter schools affect segregation in local systems. As Dr. Ladd notes, there is evidence that in some contexts, white students move to charter schools with larger proportions of white students than the district schools they would otherwise have attended, with a parallel pattern among black students (Bifulco & Ladd, 2007).¹ But elsewhere, this pattern does not hold (Ritter et al., 2014). Like many aspects of charter school research, the answer to an important question depends on where one looks. However, studies that have taken the broadest perspective find that charter schools do not strongly affect patterns of segregation in local systems. Examining patterns across seven states, Zimmer et al. (2012) concluded that transfers to charter schools "did not create dramatic shifts in the sorting of students by race/ethnicity in any of the sites." Examining national data, Chingos (2013) found that overall segregation in an area's schools did not meaningfully change when the area experienced an increasing percentage of students in charter schools.

A CAP ON CHARTER SCHOOLS?

If charter school expansion severely disrupts the education system and harms children, capping such expansion might be reasonable. Over the past quarter century, however, the charter sector has steadily expanded without severely disrupting the system. Charter competition has created challenges for districts, but charter schools' overall effects on districts' costs and segregation levels have been modest and sometimes positive. Many districts have adjusted to charter competition by making

¹ Other research focuses on the higher proportion of low-income and black students in charter schools than in their districts or states (Moreno, 2017). This is a misleading indicator of charter schools' effects on segregation, since it ignores the fact that charter schools tend to locate in neighborhoods with large proportions of low-income and black students.

changes that improve efficiency and allow them to co-exist with charters, such as instituting unified enrollment lotteries. Some districts have adopted features of charter schools or have instituted parental choice among district schools. Most importantly, there is little evidence that charter schools have systematically harmed public school students.

Capping the number of charter schools would be counterproductive. On average, charter and district schools perform similarly, and urban charter schools serving disadvantaged students outperform district schools. Moreover, the charter sector has evolved toward these more successful schools. A charter school cap would constrain any contributions charters might make toward reducing large racial and socioeconomic achievement gaps.

A cap could also negatively affect the charter sector. Without an opportunity for growth, incentives for charter schools to innovate would be reduced. With less variation in practices, we would have fewer opportunities to learn from charter school successes. And, without the ability to attract more students, charter schools may be less inclined to diversify their student populations and, instead, focus on attracting and retaining the least costly and easiest-to-serve students.

COMMON GROUND?

The debate over charter schools need not be divisive. I agree with much of Dr. Ladd's interpretation of charter school research. Charter schools have not been a panacea for the nation's public education system, and do pose challenges to district schools. There is a role for strong accountability from charter school authorizers. And it is worth considering legislation to help districts address challenges from the charter sector.

However, the worst fears of charter critics have not come to pass. There is little evidence to suggest that charter schools have systematically harmed district students. Most districts have adjusted to challenges posed by charter schools. Moreover, charter schools have had notable success in serving highly disadvantaged student populations, whereas other policy initiatives have come and gone without similar success. There is little need to constrain the growth of the charter sector, and good reasons to continue the charter school experiment.

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EXPERIMENTATION FALLS SHORT AS A JUSTIFICATION FOR MORE CHARTER SCHOOLS

Helen F. Ladd

Philip Gleason's argument for expanding charters rests primarily on the desirability of educational experimentation. He begins by crediting Al Shanker, who, as the leader of the American Federation of Teachers in 1988, called for charter schools as a way to promote innovation in education. Although he briefly acknowledges that Shanker's vision for charters differed significantly from the current version of charter schools, Gleason fails to mention that by the mid-1990s, Shanker was so disaffected with the direction in which the charter school movement was headed that he strongly criticized them in several weekly paid advertisements in the *New York Times*.¹

Nonetheless, Gleason asserts that the right way to assess the success and potential of charter schools is to "ask whether the central motivating feature of Shanker's vision has been fulfilled In short, are charter schools searching for better ways to educate children, and are we learning from the search?" (Gleason, 2019). By focusing on potential benefits from experimentation, he is ignoring the systemic costs of charter schools that I highlighted in my initial essay.

In addition, Gleason's discussion of charter schools is limited by his failure to make any reference to public accountability. This absence is both surprising and unacceptable given that charters are publicly funded, and that education is deemed so important to the life chances of individuals that we make it compulsory for all children. Moreover, the fact that experimentation inevitably involves taking risks means some form of accountability is needed to ensure that the risks of harming children are not excessive.

Some supporters of charter schools might argue that government-imposed accountability is not needed because, as schools of choice, charters face strong market-based incentives to be effective. But other supporters disagree. In their 2000 book

¹ See Shanker's statements on 7/3/94, 12/18/94, 11/19/95, 2/18/96, and 12/22/96, available from the American Federation of Teachers.

strongly supporting charter schools, for example, Finn, Manno, and Vanorek argue that public accountability is critical to the success of charter schools (Finn et al., 2000, ch. 6). They call for an accountability system for charters based on full disclosure and transparency, an approach they prefer to regulation so as not to burden charters with bureaucratic regulation. While some people might prefer regulation—for example, in the form of minimum qualifications for teachers—and others might quibble with the details of their proposed approach, it is hard to argue with the need for some form of public accountability.

Accountability to Finn, Manno, and Vanorek includes full public disclosure of the activities of individual charter schools, clear procedures and adequate capacity of charter sponsors, and periodic evaluation by the state government. Individual charter schools, they argue, should be fully transparent about their mission, their curriculum, student performance, fiscal soundness, organizational viability, and compliance with the law. Only with full publicly available information will parents and policymakers be in a good position to make wise decisions about individual charter schools. Charter school sponsors or authorizers, in turn, should have a clear charter approval process, one that assures in advance that the schools will have the staff and the capacity needed to provide high quality education. Further, the authorizers need sufficient staff to support struggling charters and to make wise renewal decisions. Finally, the state should make available information on its charter school program as a whole with periodic evaluations of its overall impacts. The authors also argue that the state should undertake independent financial audits of both the schools and the sponsors to assure against fraud and misuse of public funds.

In practice, the charter authorization and accountability systems in many states are inadequate. Take California, for example. Specifically designed to encourage the growth of charter schools, California's system is highly decentralized with little accountability for the districts and county offices that act as authorizers. A recent review of the state's system noted the small scale, modest funding, and limited capacity of many local authorizers and the low bar for charter renewal that follows from the absence of a distinct renewal process (Raymond et al., 2018).² In contrast, Massachusetts, with its centralized authorization system, has historically had one of the most effective systems.³ This high quality may help explain the highly touted success of the Boston charters. Distinctive features of the Massachusetts approach include visits by external teams to evaluate each charter on 10 performance criteria twice during each five-year renewal period and sufficient staffing to help struggling charters on probation to develop remedial programs.⁴

Clearly, public accountability in some form is necessary to maximize the benefits of the experimentation that Gleason promotes. Moreover, it would help ensure that charter schools are responsive to the children and families they serve, have a reasonable chance of succeeding, do not enrich their operators at the expense of serving children, and contribute to the public interest.

A BRIEF NOTE ON MEASURING THE BENEFITS OF CHARTER SCHOOL EXPERIMENTATION

Gleason accurately summarizes many of the high quality studies of the effects of charter schools on test scores, college enrollment, or annual earnings (see his

² Illustrative of one of the problems in California is that 11 people connected to online charter schools were recently indicted for criminal charges, grand theft, and financial conflict-of-interest (San Diego Union-Tribune, Friday, May 31, 2019).

³ See profile in National Association of Charter School Authorizers Quality Practice Report (<https://www.qualitycharters.org/research/quality-practice-project/>).

⁴ See <https://www.doe.mass.edu/charter/acct.html?section=guide>

Table 1). Of interest in each study is the impacts of charter schools on enrolled students.

One should ask, however, whether these studies, regardless of how technically sophisticated they may be, address the relevant policy question. If charter schools were simply experimental schools on the fringes of larger education systems, the answer might be yes. In that case, learning that one or more charter schools or charter networks generate benefits to students that exceed those they would have attained in the traditional system could be useful for determining which types deserve support moving forward and which might have practices that could be transferred to the traditional public schools. Even for this purpose, however, one would want to pay attention not just to student outcomes, but to additional factors contributing to those outcomes. This consideration is relevant, for example, for the evaluation of schools or networks of schools (such as the KIPP schools to which Gleason refers in several places) whose documented success with students may be partially attributable to factors that would not be readily transferable to traditional public schools. Such factors include the availability of additional resources from philanthropists or a school's willingness to dismiss students (Miron et al., 2011).

More generally, the policy-relevant research question is not whether some charter schools serve a select group of students well, but whether the students in the local system as a whole benefit from the presence of the charter schools. That would require investigating whether all children are doing better on average in communities where charter expansion is greater than in other communities, controlling for other confounding factors. In sum, Gleason's argument that the benefits of experimentation justify the expansion of charter schools falls short in at least two ways: His failure to address the need for public accountability and the potential for charters to adversely affect students served by traditional public school systems.

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